

Value Source Basis Module (VSBM)

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Architecture Ecosystem: Structured Reality Standards™

Architecture Family: VFM® — Value Flow Mechanism

Parent Standard: Value Origin Standard (VOS)

Module: VSBM — Value Source Basis Module

Operational Layer: Value Source Basis Layer

Category: Governance & Enforcement

Subcategory: Value Lifecycle Governance

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Governed Space: Value Source Basis

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Canonical Language: English

Canonical Definition

Value Source Basis Module (VSBM) is the second Core Module of the Value Origin Standard (VOS).

VSBM governs the determination and documentation of the basis through which an identified Value Source is capable of contributing to the origin of the governed value.

The Module operates after a Value Source has been identified through VSOIM — Value Source Identification Module.

VSOIM establishes:

What is the Value Source?

VSBM establishes:

What about that source makes it capable of contributing to this value?

This distinction prevents the mere existence, ownership, recognition, or possession of a source from being confused with an actual value-origin basis.

Architectural Position

VSBM is the second module within the Value Origin Standard.

It follows:

VSOIM — Value Source Identification Module

and precedes:

VORM — Value Origin Relationship Module

The internal sequence is:

Identified Value Source → Source Capability Examination → Value-Relevant Basis Identification → Basis Characterization → Basis Condition Assessment → Value Source Basis Record → VORM — Value Origin Relationship Module

The Module therefore moves Value Origin governance from:

identifying the source

to:

understanding why that source can matter for value.

Operational Space

VSBM governs the value-relevant basis contained in or enabled by an identified Value Source.

A Value Source Basis may arise from:

productive capability; functional capability; economic utility; physical properties; technological capability; intellectual capability; knowledge; information; scarcity; availability; accessibility; location; timing; interoperability; network position; relationships; rights; permissions; productive capacity; computational capacity; energy availability; transformation capability; reuse capability; substitution capability; risk reduction; cost reduction; time reduction; resource reduction; performance improvement; resilience; optionality; combinations of multiple bases.

The list is not exhaustive.

VFM® remains neutral as to which type of basis must create value.

Its purpose is to make that basis governable.

Source Existence ≠ Value Source Basis

VSBM establishes a foundational distinction:

Source Existence ≠ Value Source Basis

Something may exist without possessing a relevant basis for the governed value.

A building exists.

A dataset exists.

A patent exists.

A machine exists.

A relationship exists.

A mineral deposit exists.

But existence alone does not explain why any of these can contribute to a particular form of value.

VSBM therefore requires the relevant basis to be made explicit.

For example:

Machine → manufacturing capability

Dataset → information capable of improving a decision

Patent → protected technological capability

Warehouse → storage and distribution capability

Reusable spacecraft component → repeated-use capability reducing replacement requirements

The source and its value-relevant basis are related but methodologically distinct.

Value Basis Is Context-Specific

A source does not possess one universal value basis for every context.

The same source may have different bases for different governed values.

For example, a logistics network may provide:

delivery capability

for customer-service value,

distribution reach

for market-access value,

redundancy

for resilience value,

and

consolidation capability

for cost-reduction value.

VSBM therefore requires the basis to remain connected to the specific governed Value Context.

Capability Basis

Many Value Sources originate value through capability.

A capability basis describes what the source is capable of doing that is relevant to the governed value.

Examples include:

Factory → production capability

AI system → analytical or automation capability

Battery → energy-storage capability

Hospital → diagnostic and treatment capability

Satellite → observation or communication capability

Financial infrastructure → capital allocation capability

Capability itself does not prove that value has emerged.

It establishes a potential basis from which value may originate.

Utility Basis

Some sources contribute to value because they provide utility.

Utility may include the ability to:

solve a problem; satisfy a requirement; perform a function; enable access; reduce effort; improve availability; increase convenience; provide information; enable coordination; support another capability.

VSBM identifies the utility basis without assigning universal economic worth to it.

Cost-Reduction Basis

Value may originate not from producing more output but from requiring fewer resources to achieve the same or better outcome.

A Value Source may therefore have a basis in:

reduced energy consumption; reduced material consumption; reduced labor requirement; reduced computation; reduced infrastructure use; reduced downtime; reduced maintenance; reduced failure; reduced waste; reduced transaction cost; reduced process complexity; reduced time.

This is particularly important because value systems focused only on revenue or asset appreciation may fail to identify avoided consumption and avoided loss as sources of value.

VSBM makes such bases explicit.

Performance-Improvement Basis

A source may contribute to value by improving an existing outcome.

Relevant improvements may include:

speed; precision; reliability; availability; throughput; durability; efficiency; quality; scalability; recoverability; interoperability.

The relevant value basis is the improvement capability, not merely the existence of the underlying technology or asset.

Risk-Reduction Basis

Value may originate through reduced exposure to undesirable outcomes.

A source may therefore possess a basis capable of:

preventing failure; reducing loss probability; reducing operational disruption; increasing resilience; enabling earlier detection; improving recovery; reducing uncertainty; preserving continuity.

VSBM identifies the value-origin basis.

It does not replace risk governance or determine the actual risk state.

Access Basis

Some sources become value-relevant because they provide access.

Examples include access to:

markets; infrastructure; information; capital; technology; distribution; networks; customers; expertise; locations; resources; platforms.

Access itself may therefore constitute a Value Source Basis even where the accessed object belongs to another entity.

Scarcity Basis

Scarcity may contribute to value where limited availability is materially relevant to the governed Value Context.

However:

Scarcity $\neq$ Value

Something can be scarce and have no relevant value.

VSBM therefore treats scarcity as a possible basis, not as proof that value exists.

Knowledge and Information Basis

Knowledge may become a Value Source Basis where it enables an outcome that could not otherwise be achieved as effectively.

Examples include:

manufacturing know-how; scientific knowledge; operational experience; proprietary methodologies; process knowledge; historical datasets; diagnostic knowledge; engineering knowledge.

The underlying information does not need to be monetized before its value-origin basis can be identified.

Relationship Basis

A relationship itself may create a basis from which value can originate.

Examples include:

trusted supplier relationships; distribution relationships; strategic partnerships;

customer networks; research collaborations; institutional relationships; ecosystem participation.

VSBM does not govern the relationship itself.

It identifies what capability or advantage arising from that relationship is relevant to the governed value.

Combination Basis

A Value Source may possess several relevant bases simultaneously.

For example:

Reusable launch system

may contain:

reusability capability + rapid inspection capability + manufacturing knowledge + operational experience + infrastructure compatibility

which together create a basis for lower mission cost.

VSBM therefore permits:

One Value Source $\rightarrow$ Multiple Value Source Bases

It also permits multiple sources to contribute complementary bases toward one governed value.

Direct and Enabling Basis

VSBM may distinguish between:

Direct Basis

A basis capable of contributing directly to the governed value.

Enabling Basis

A basis that enables another source or capability to contribute to the governed value.

Example:

Manufacturing robot → productive capability → Direct Basis

Predictive maintenance capability → increased availability of manufacturing robot → Enabling Basis

Both can matter to the value origin without being methodologically identical.

Latent Basis

A source may possess a legitimate value basis even when that basis is not currently being used.

This may occur where capability is:

dormant;

inaccessible; underutilized; technologically constrained; economically impractical; awaiting complementary infrastructure; awaiting demand; awaiting knowledge; awaiting activation.

VSBM therefore recognizes:

Latent Value Source Basis

A latent basis does not mean that value has emerged.

It means the source contains or enables a basis from which value may emerge under appropriate conditions.

Basis Strength

A Value Source Basis may exist with different levels of relevance or capability.

Organizations may therefore assess whether the identified basis is:

Weak Moderate Strong Conditional Latent Unresolved

These are not universal value measurements.

They are governance states describing how clearly and materially the identified basis is connected to the governed Value Context.

The criteria should be defined for the relevant implementation.

Basis Evidence

The assertion that a source possesses a particular value-relevant basis should be supportable.

Relevant evidence may include:

operational records; technical specifications; observed capability; performance data; financial information; production data; scientific evidence; contractual rights; documented access; historical results; comparative analysis; simulation evidence; empirical observation.

VSBM does not own general evidence validation.

Where necessary, VALIDOS®, ADIT®, INTEGROS®, or other relevant architectures may govern the reliability, validation, auditability, or integrity of the supporting basis.

Potential Basis ≠ Emerged Value

VSBM preserves another critical distinction:

Value Source Basis ≠ Value Emergence

A source may possess an extraordinary capability and still produce no current value.

Examples:

Unused patent → technological basis exists → value may not yet have emerged

Unused factory capacity → production basis exists → production value may not currently emerge

Unexploited dataset → informational basis exists → decision value may not yet emerge

Reusable technology → reuse basis exists → cost-saving value does not emerge until reuse actually changes the relevant resource requirement.

This distinction protects the later VFM® lifecycle from treating potential as realized value.

Basis Change

A Value Source Basis may strengthen, weaken, disappear, or transform over time.

Examples include:

technology becoming obsolete; expertise increasing; infrastructure becoming available; access being lost; production capacity expanding; a patent expiring; energy becoming cheaper; interoperability improving; a relationship ending; knowledge becoming widely available.

VSBM therefore requires material basis changes to remain identifiable where they affect the origin of governed value.

Minimum Implementation Framework

A practical VSBM implementation should establish:

1. Identified Value Source

Receive the Value Source identified through VSOIM.

2. Governed Value Context

Preserve the specific value context against which the source basis is being examined.

3. Basis Identification

Identify the capability, utility, condition, property, relationship, access, knowledge, resource advantage, reduction capability, or other basis relevant to value.

4. Basis Type

Classify the basis sufficiently for practical governance.

5. Basis Relevance

Determine why the basis is relevant to the governed value.

6. Basis Structure

Determine whether the basis is direct, enabling, composite, dependent, latent, or another materially relevant form.

7. Basis Condition

Identify material conditions affecting whether the basis can operate.

8. Basis State

Determine whether the basis is active, latent, conditional, constrained, degraded, or unresolved.

9. Basis Support

Identify the information or evidence supporting the asserted basis where necessary.

10. Value Source Basis Record

Document the basis for downstream Value Origin governance.

Governance Outputs

VSBM may produce:

Value Source Basis Record Value Source Capability Record Value Source Basis Type Value Source Basis State Direct Value Basis Record Enabling Value Basis Record Latent Value Basis Record Composite Value Basis Record Value Basis Condition Record Value Basis Support Record Value Basis Change Record Value Source Basis Map

These outputs provide the governed input for:

VORM — Value Origin Relationship Module.

Use Case 1 — Banking: Value Beyond the

Balance Sheet

A bank identifies its customer transaction infrastructure as a Value Source.

VSBM does not stop at the existence of the infrastructure.

It identifies the bases through which that source may contribute to different forms of value:

transaction capability → payment-service value

transaction information → analytical value

customer connectivity → distribution value

operational scale → unit-cost reduction potential

historical transaction patterns → risk-analysis capability.

The same source may therefore contain several different value-origin bases.

VSBM enables the bank to identify those bases without prematurely assigning a monetary value or declaring that the potential has already been realized.

Use Case 2 — Space Mission: Reusability as a

Value Basis

A space organization identifies a reusable launch vehicle as a Value Source.

The physical vehicle itself does not explain the origin of cost-reduction value.

VSBM identifies the relevant bases:

reusable propulsion

reusable structures rapid inspection reduced refurbishment requirements operational learning repeat-use infrastructure compatibility

These capabilities collectively create a basis from which lower cost per mission may emerge.

If the vehicle can technically be reused but refurbishment costs remain higher than replacement, the reuse capability still exists—but the expected cost-reduction value may not emerge.

VSBM therefore separates:

the capability capable of producing value

from

the later emergence of value itself.

Foundational Principles

A Value Source must have an identifiable basis through which it can contribute to governed value.

Source existence is not a Value Source Basis.

A Value Source Basis is context-specific.

Capability is not automatically value.

Scarcity is not automatically value.

Potential value is not Emerged Value.

Cost reduction, avoided loss, reduced resource consumption, and improved performance may constitute legitimate value-origin bases.

A source may contain multiple Value Source Bases.

Multiple sources may provide complementary bases for one governed value.

A latent basis may exist before value emerges.

Value Source Basis must remain distinguishable from the later Value Origin Relationship and Value Emergence.

Canonical Closing Statement

Value Source Basis Module establishes the second operational layer of Value Origin governance by determining what capability, utility, property, condition, knowledge, access, relationship, resource advantage, productive capacity, reduction capability, performance improvement, or other identifiable basis enables a Value Source to contribute to the origin of governed value. By separating source existence from value-relevant basis, and value-relevant basis from Value Emergence, VSBM prevents assets, capabilities, resources, rights, technologies, relationships, and potential advantages from being treated as value merely because they exist. The Module creates the governed basis required to determine how an identified source is actually related to the origin of value in the subsequent Value Origin Relationship Module.

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Governed Links

→ [Value Origin Standard \(VOS\)](#)

→ VFM® Architecture Map

→ Previous: Value Source Identification Module (VSOIM)

→ Next: Value Origin Relationship Module (VORM)

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Canonical Source

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